Coimisiún na Scrúduithe Stáit
State Examinations Commission

Leaving Certificate Examination 2020

Business

Section 2
Ordinary Level

2 hours 30 minutes

Candidates are required to answer:

Four questions from **Section 2** as follows:

One question from **Part 1**

Two questions from **Part 2**

and **One** other question from either **Part 1** or **Part 2**

All questions in Section 2 carry equal marks.

Do not hand this up

Section 2 — 300 marks

Write your answers in the Answerbook containing **Section 1**

Answer **four** questions from **Section 2** as follows:

One question from **Part 1**
Two questions from **Part 2**
AND one other question from either **Part 1** or **Part 2.**

All questions carry 75 marks.

Part 1

Question 1 — **People in Business**

Read the information supplied and answer the questions which follow.

Super Sofas *Free delivery on all sofas ordered in March.*	Liam saw an advertisement in his local newspaper, offering free delivery on any sofa ordered in March. He purchased a sofa from Super Sofas on 25 March 2020. However, upon delivery, Liam was charged a €70 delivery fee. He paid the fee but was not happy, so he contacted the Competition and Consumer Protection Commission (CCPC).

(A) Name the law that protects Liam in this situation. (10)

(B) Outline how Super Sofas have breached Liam's consumer rights. (15)

(C) **(i)** Outline **one** function of the Competition and Consumer Protection Commission**.**

(ii) List **and** explain **one** other consumer agency that assists consumers.

(15)



Angela has been employed as an engineer in a large pharmaceutical plant for three years. Recently she told her manager that she had joined a trade union. Her manager informed her that this was not acceptable to the business and terminated (ended) her contract immediately.

(D) Outline **three** reasons (other than trade union membership) for unfair dismissal. (15)

(E) **(i)** Describe **two** functions of a trade union.

(ii) Name **one** trade union in Ireland.

(20)

Question 2 **Domestic Environment**

Read the information supplied and answer the questions which follow.

Farmers threaten to blockade supermarket distribution centres

Farmers protesting in Dublin have said they will blockade supermarket distribution centres in the run-up to Christmas if progress is not made on beef prices and other issues.



"There will be no turkeys for Christmas", said one farmer, as tractors began to leave the capital on Wednesday afternoon after two days of disruption near Leinster House.

irishtimes.com, November 2019

(A) Farmers operate in the primary sector of the economy.
Outline **two** challenges facing the primary sector in Ireland. (15)

(B) Name and explain the **two** other sectors of the Irish economy. (15)

(C) **(i)** List and explain the **four** factors of production.

(ii) Give **one** example of each factor.

(20)



'Plastic is the biggest environmental problem of our time', Repak chief warns.

(D) Outline **two** environmental responsibilities of a business. (15)

(E) Explain **one** benefit to a business of meeting its social, environmental and ethical responsibilities. (10)

Question 3 **International Environment**

Read the information supplied and answer the questions which follow.

Ireland's Trade in Goods 2019				
Exports			**Imports**	
United Kingdom	€16 bn		United Kingdom	€20 bn
United States	€47 bn		United States	€14 bn
Rest of World	€90 bn		Rest of World	€55 bn

An Phríomh-Oifig Staidrimh Central Statistics Office

(A) Outline **two** reasons why Ireland exports goods and services. (15)

(B) **(i)** Calculate the total visible exports for Ireland in 2019. Show your workings.

(ii) Calculate the total visible imports for Ireland in 2019. Show your workings.

(10)

(C) **(i)** Calculate the Balance of Trade for Ireland in 2019. Show your workings.

(ii) State whether it is a surplus or deficit.

(15)

(D) Explain **two** benefits that Irish consumers receive from international trade. (15)

(E) **(i)** Outline **two** challenges for Irish businesses exporting outside the European Union.

(ii) Explain how the Irish Government benefits from Irish businesses engaging in international trade.

(20)

Part 2

Question 4 **Enterprise / Managing**

Read the information supplied and answer the questions which follow.

Vegalicious

Ciara Brady noticed an increased demand for healthy treats and in particular vegan products. She decided to give up her job in marketing and invest her savings into setting up a new business called "Vegalicious" which produces a range of vegan treats using natural ingredients.



Ciara now employs a staff of eight. She pays her staff well and praises them for their efforts. She holds weekly meetings with her staff where they discuss new ideas and she consults them on her plans for the business. Ciara continuously stresses the importance of good quality control to her staff.

(A) Outline **three** enterprising characteristics/skills displayed by Ciara. (15)

(B) Outline **two** rewards for Ciara of setting up her own business. (10)

(C) Outline **two** advantages of meetings as a method of communication. (15)

(D) **(i)** Outline **two** benefits to Ciara of using a democratic leadership style.

(ii) List **two** other leadership styles.

(20)

(E) Discuss **two** reasons why quality control is important for Ciara's business. (15)

Question 5 **Managing**

Read the information supplied and answer the questions which follow.



Marco Aliotta owns and runs a busy Italian restaurant in Cork City. Marco employs ten full-time and six part-time staff. The restaurant offers a delivery service to the local area. Marco owns the restaurant premises and two delivery vans. Recently, he has experienced some cashflow difficulties due to an increase in insurance premiums and the cost of installing a new oven in the kitchen. Marco has contacted his bank about these difficulties.

(A) **(i)** List **two** types of insurance you would expect Marco's business to have.

(ii) Marco must abide by the insurance principles of **Indemnity** and **Utmost Good Faith** Explain **one** of these principles.

(20)

(B) Outline **two** actions Marco could take to try to reduce his insurance premium. (15)

(C) Outline **two** benefits to Marco of preparing a cash flow forecast (cash budget). (15)

(D) List **two** taxes that Marco's business must pay. (10)

(E) Explain **two** factors that a bank would consider before giving a loan to a business. (15)

Question 6 **Managing**

Read the information supplied and answer the questions which follow.

The Wardrobe

seeks

ASSISTANT RETAIL MANAGER

Role:

- Assisting the store manager with the day-to-day running of the store
- Motivating and leading a team and providing excellent customer service
- Increasing sales and controlling stock

Requirements:

- Minimum of five years fashion retail experience
- Excellent interpersonal and communication skills with a keen interest in fashion
- Good leadership skills and the ability to work as part of a team

Salary negotiable, based on experience
Benefit-in-Kind

Apply online: www.thewardrobe.com before 30th November 2020

The Wardrobe is an equal opportunities employer.

(A) Explain the following terms with reference to the above advertisement:

(i) Job description

(ii) Person specification.

(20)

(B) Outline **two** benefits of teamwork to a business such as The Wardrobe. (15)

(C) Explain the term **equal opportunities employer**. (10)

(D) **(i)** Outline the difference between a **Salary** and a **Wage**.

(ii) Explain, using **two** examples, what is meant by **Benefit-in-Kind**.

(20)

(E) Outline **one** method of selection that The Wardrobe could use to find a suitable candidate for the position of Assistant Retail Manager. (10)

Question 7 **Business in Action**

Read the information supplied and answer the questions which follow.

Ireland's Top Selling Brands

While Coca-Cola continues to lead the Top 100, occupying the number one position for the 15th year in a row, Irish brands Brennan's Bread (3rd) and Avonmore (4th) make the top five, indicating the level of loyalty that consumers have to Ireland's biggest household names.

checkout.ie



Businesses spend a lot of money promoting their brand to their target market, using methods such as Advertising, Sales Promotion, Public Relations and Direct Selling.

(A) Outline **three** advantages of branding for a business. (20)

(B) Explain, using an example, the term **target market**. (10)

(C) **(i)** List **two** advertising media that a business could use.

(ii) Outline **two** factors a business would consider before deciding which advertising media to use.

(20)

(D) **(i)** Explain what is meant by **Public Relations** (PR).

(ii) Outline **one** benefit to a business of using Public Relations (PR) as a method of promotion.

(15)

(E) Name **two** suitable types of Sales Promotion a business could use to boost sales. (10)

Question 8 **Business in Action / Managing**

Read the information supplied and answer the questions which follow.

Simply



Green

LOCAL BUSINESS EXPANDING TO EUROPE

Simply Green, an eco-friendly hygiene product manufacturer based in Oakfield, has announced its intention to expand into the European market in September 2020.

Simply Green has received grant aid from the Local Enterprise Office (LEO) as a result of its impressive business plan submitted to Meath LEO.

Simply Green intends to invest heavily in new technology and hopes to access the vast European market.

(A) Outline **two** benefits of preparing a business plan. (15)

(B) Outline **two** reasons for business expansion. (15)

(C) Apart from grants, outline **two** sources of finance to fund business expansion. (15)

(D) Outline **two** advantages of information technology to a growing business. (10)

(E) **(i)** Outline **two** reasons why a business would carry out market research.

(ii) Explain **one** method of Market Research.

(20)

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Leaving Certificate 2020 – Ordinary Level

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